

Airbnb Annual Projection

Studio Apartment (410 sq ft) | Pearl One, MM Alam Road, Gulberg III, Lahore
Period: November 2026 – October 2027 | All amounts in PKR | 1 Lakh (L) = 100,000

1. The Answer in One Box

Worst case profit (you manage it yourself): about **PKR 5 Lakh per year** ($\approx 42,000$ per month)
Most likely profit: about **PKR 10.6 Lakh per year** ($\approx 89,000$ per month)
Best case profit: about **PKR 17.3 Lakh per year** ($\approx 144,000$ per month)

These are profits **after all running costs**, but **before income tax**.

2. What the Market Looks Like

- Lahore has about **650 active Airbnb listings**. The average one is booked only **26%** of nights.
- Good listings (top 25%) are booked **37% or more**. The best (top 10%) are booked **60% or more**.
- Similar Gulberg studios charge **PKR 10,000 – 11,700 per night** and most have 4.9–5.0 star ratings.
- Busiest months: **November – January** (weddings, winter). Slowest: **Ramadan** (Feb–Mar 2027).
- Guests usually book about 11 days ahead. Here we assume each guest stays about 2.5 nights.

3. Three Scenarios – Full Year

“Booked” means the share of nights in the year that a guest is staying.

	Worst Case	Most Likely	Best Case
Nights booked (of 365)	139 (38%)	190 (52%)	236 (65%)
Average price per night	8,500	10,000	11,500
Total money earned	11.81 L	19.00 L	27.13 L
Airbnb fee (3%)	- 0.35 L	- 0.57 L	- 0.81 L
Cleaning + laundry	- 1.39 L	- 1.90 L	- 2.36 L
Guest supplies (soap, water, tea)	- 0.72 L	- 0.99 L	- 1.23 L
Electricity	- 1.42 L	- 1.75 L	- 2.05 L
Maintenance, internet, Netflix	- 2.22 L	- 2.22 L	- 2.22 L
Repairs & replacements	- 0.71 L	- 0.93 L	- 1.17 L
PROFIT PER YEAR (self-managed)	5.0 L	10.6 L	17.3 L
Profit per month	41,600	88,700	144,000
Profit if you hire a manager (15%)	3.2 L	7.8 L	13.2 L

4. Worst Case – Month by Month

This is the careful, “things go slowly” plan. Self-managed.

Month	Nights Booked	Price / Night	Money Earned	Profit
Nov	14	9,055	126,766	67,480
Dec	15	9,642	144,623	82,396
Jan	13	8,803	114,441	57,765
Feb (Ramadan)	8	7,713	61,706	17,544
Mar (Ramadan/Eid)	8	7,546	60,365	16,283
Apr	11	8,132	89,457	30,869
May	10	7,965	79,648	24,169
Jun	10	7,965	79,648	24,169
Jul	13	8,552	111,171	46,241
Aug	14	8,803	123,244	55,070
Sep	11	8,132	89,457	30,869
Oct	12	8,384	100,608	46,631
TOTAL	139	~8,500	1,181,133	~499,500

5. Compare: Renting It Monthly Instead

Option	Money per Year	Effort
Monthly tenant (a Pearl One studio is listed at 130,000/month) ≈ 15.6 L (asking price)		Very low
Airbnb – worst case	≈ 5.0 L	High
Airbnb – most likely	≈ 10.6 L	High
Airbnb – best case	≈ 17.3 L	High

Important: 130,000 is an asking price – the real rent may be lower. Even so, Airbnb only clearly wins in the best case. If you are **renting** this unit to put on Airbnb (paying ~130,000/month), you would **lose money** in the worst and most likely cases.

6. Extra Costs Not in the Table

- **One-time setup:** about PKR 1 – 1.5 Lakh (smart door lock, 2–3 sets of bedsheets and towels, professional photos, first supplies).
- **Income tax:** Airbnb does not cut tax for you. Roughly PKR 73,000 (worst) to 3.3 Lakh (best) per year. Please confirm with a tax advisor.

7. Things That Can Make or Break It

1. **Building permission** – Check that Pearl One allows short stays. If not, the plan stops here.
2. **Power backup** – Guests leave bad reviews if the AC stops during load-shedding.
3. **Guest rules** – Decide your policy (families only, ID check, etc.). Safer, but fewer guests.

4. Strong competition – Many 5-star studios nearby. Great photos, fast replies and good early prices matter most.

5. Fill slow months – Offer 25–30% monthly discounts for long stays (overseas Pakistanis, office workers).

8. Questions to Make This More Accurate

- What is the real monthly maintenance charge? Does it include generator backup?
- Will you manage it yourself, or hire someone?
- Does the unit have a balcony, view, pool or gym? Which floor?
- Do you own it, or are you renting it?
- Will you list only on Airbnb, or also Booking.com and WhatsApp direct bookings?

Sources: AirROI Lahore Airbnb data 2026 (airroi.com); Airbnb Gulberg III listings; Zameen.com Pearl One rent & sale listings; LESCO 2026 tariffs (toolsfluent.com); TaxationPK rental income tax 2025-26. Exchange rate used: 1 USD ≈ 277 PKR. These are estimates, not guarantees.